CASE STUDY #2 — TELECOM

Profitability Decline — Root-Cause Diagnosis

Introduction

The client is one of the largest pan-India telecom operators. Over the past seven months, it has experienced a significant decline in profitability while competitors reported increasing profits over the same period.

Background

The client operates as a pure-play telecom service provider, offering voice, data, broadband, and other telecom services. Management wants to identify the root cause of the declining profitability and recommend practical solutions that improve financial performance without compromising customer experience.

Approach: Step-by-Step Diagnostic Walkthrough

- **Step 1 — Analyze Profitability:** break down Profit = Revenue − Cost, to determine whether the decline stems from reduced revenue or increased costs.
- **Step 2 — Analyze Revenue:** review major revenue streams — voice/SMS/internet, broadband & DTH, OTT/data partnerships, and net network exchange fee — to isolate the area of concern, which turns out to be the Net Network Exchange Fee.
- **Step 3 — Analyze Network Exchange Fee:** split the fee into receipts from other operators versus payments to other operators; the rise in payments made is what is driving the profitability decline.
- **Step 4 — Identify the Cause:** network exchange payments depend on the number of outgoing calls, call duration, and per-minute charges; the key finding is a rise in outgoing calls, driven mainly by an increase in callback calls.
- **Step 5 — Identify the Root Cause:** map the customer call journey (Dial → Ring → Wait → Connect); competitors reduced their ringing duration from 45 seconds to 25 seconds, causing more missed calls on the client's network and, consequently, more callback calls — raising inter-network traffic and network exchange payments.

Root Cause and Recommended Actions

- **Root Cause:** higher network exchange payments resulting from increased callback calls, driven by competitors' shorter ringing duration.
- **Short-Term:** match competitors' ringing duration, and engage with TRAI to address the issue and seek regulatory support.
- **Long-Term:** negotiate better inter-network usage agreements with competitors, and work with TRAI to standardize call ringing duration across the industry.

Final Note

Reducing callback traffic by aligning ringing duration with competitors, combined with regulatory intervention, addresses the immediate profitability drain. Longer term, renegotiated inter-network agreements and an industry-wide ringing-duration standard would remove the structural cost disadvantage altogether.

Questions for Discussion

- Why is it important to trace a financial symptom (declining profit) all the way down to an operational root cause (ringing duration) rather than stopping at the cost-line explanation?
- What are the risks of unilaterally shortening ringing duration without a regulatory standard in place?
- How could the client have detected this issue earlier, before seven months of profitability erosion?